

Gendered Policy Incidence

Childcare, Leave, Taxation, Quotas, Transparency, And Protection
Gender Study — Week 6

Teaching deck draft

Central question

- Which labor-market margins do gender-related policies move?
- Who bears incidence after households, firms, coworkers, and markets adjust?
- How do firms respond through pay, staffing, promotion, compliance, classification, and retention?
- When does welfare improve, not just the measured gap?

Why policy incidence is a labor object

- Policies operate through labor margins: employment, hours, attachment, wages, bonuses, promotion, authority, safety, and sorting.
- A policy can reduce one gap while worsening another margin or shifting costs to future careers.
- The nominal target is not necessarily the incidence bearer.
- Policy variation can reveal deeper gender mechanisms.

Bridge from Weeks 2–5

Earlier mechanism	Week 6 stress test
Household constraints	childcare, leave, tax incentives, care allocation
Early choices and sorting	quotas, pipeline policies, exposure to job ladders
Firm-side gaps	transparency, equal pay, promotion, bonuses, compliance
Norms and bargaining	second-earner incentives, leave take-up, reporting, voice

Four objects to keep separate

- ① Average treatment effects on outcomes.
- ② Incidence across workers, firms, coworkers, households, and future careers.
- ③ Equilibrium and firm response.
- ④ Welfare over income, time, safety, autonomy, child outcomes, firm surplus, and fiscal cost.

$$\tau_m = E[Y_i^m(P_1) - Y_i^m(P_0)]$$

- m : participation, hours, wages, bonuses, promotion, retention, fertility, care, safety, or welfare.
- A single policy can have different signs across margins.
- Do not interpret a wage-gap effect as a complete welfare effect.

$$\Delta Y_{ifh}^m = \Delta Y_{ifh}^{m,w} + \Delta Y_{ifh}^{m,h} + \Delta Y_{ifh}^{m,f} + \Delta Y_{ifh}^{m,c} + \Delta Y_{ifh}^{m,eq}$$

- Worker component: preferences, constraints, search, bargaining.
- Household component: care allocation, fertility, specialization.
- Firm component: pay, staffing, promotion, schedules, compliance.
- Coworker and equilibrium components: spillovers, sorting, prices, wages.

A welfare object

$$W(P) = \sum_i \omega_i U_i(c_i, h_i, \ell_i, a_i, s_i; P) + \sum_h \omega_h B_h(P) + \sum_f \omega_f \Pi_f(P) + \sum_k \omega_k C_k(P) - \lambda G(P)$$

- Gap reduction is one input, not the full social objective.
- Welfare can rise through safety, autonomy, care quality, or insurance even when wages move little.
- Welfare can fall if the measured gap narrows through costly sorting or career penalties.

- Main margins: participation, hours, job quality, business activity, care time, child outcomes.
- Incidence can run through mothers, fathers, children, households, firms, and childcare providers.
- Evidence from Quebec and Uganda shows why childcare is a multi-margin intervention.
- Labor question: how binding are time constraints and care complementarities?

- Main margins: attachment, tenure, return timing, experience, promotion, fertility.
- Short-run attachment is not long-run career convergence.
- Firm responses: replacement hiring, staffing buffers, delayed promotion, project reassignment.
- Labor question: are child penalties driven by job continuity, human capital, or firm-side career penalties?

- Main margins: participation, hours, formal work, specialization, bargaining.
- Joint taxation can tax the secondary earner at a high effective marginal rate.
- Responses depend on childcare, norms, household bargaining, and labor demand.
- Labor question: what is the elasticity of secondary-earner work, and who captures the gain?

Quotas and representation

- Main margins: top representation, authority, networks, pipeline, promotion, spillovers.
- Board quotas can change the top node without changing the broader pipeline.
- Firm responses: search, mentoring, internal reallocation, compliance appointments.
- Labor question: where in the hierarchy is the bottleneck?

Transparency and equal pay

- Main margins: base pay, bonuses, raises, negotiation, job classification, retention.
- Transparency can narrow gaps through public scrutiny, bargaining, bonus compression, or slower pay growth for men.
- Equal-pay rules can induce wage compression or segregation into different job categories.
- Labor question: what firm pay-setting rule changed?

- Main margins: reporting, retention, mobility, occupational choice, safety, welfare.
- Formal protection matters only if workers can credibly use it.
- Firm responses: compliance systems, documentation, scheduling, discipline, reporting channels.
- Labor question: how do risk, dignity, and reporting costs enter labor supply and job choice?

Firm response is central

Policy area	Firm adjustment	Incidence concern
Leave	staffing, promotion timing, assignment	coworkers and future careers
Transparency Equal pay	pay bands, bonus redesign, raises classification, segregation, compression	lower-paid women vs higher-paid men target workers vs job reallocation
Protection Quotas	compliance, reporting, documentation search, mentoring, pipeline design	reporting workers and nonreporters top appointees vs broader cohorts

Policy as identification device

Policy shock	Mechanism question
Childcare expansion	How binding are care-time constraints?
Paid leave reform	Is the penalty attachment, experience, or firm response?
Tax reform	How elastic is secondary-earner labor supply?
Quota	Where does the leadership pipeline bind?
Transparency	Are gaps driven by bargaining, bonuses, or pay rules?
Equal-pay rule	How do firms adjust when pay discrimination is constrained?
Protection reform	How costly is reporting, risk, and unsafe work?

Reduced form is not mechanism

$$Y_{ift} = \alpha_i + \delta_f + \lambda_t + \beta P_{ft} + X'_{ift}\gamma + \varepsilon_{ift}$$

- β can be a credible policy effect.
- It does not reveal whether pay, bonuses, promotions, sorting, or retention moved.
- Mechanism claims require additional outcomes or a stronger design.

- Reproduce: synthetic pay-transparency reporting exercise inspired by Blundell, Duchini, Simion, and Turrell.
- Diagnose: classify outputs as outcome effects, incidence, firm response, or welfare-relevant missing margins.
- Transfer: equal-pay-for-similar-work exercise inspired by Gentile Passaro, Kojima, and Pakzad-Hurson.
- Optional memo: paid leave, board quotas, or childcare subsidies.

- Childcare: universal care, legal care regimes, experimental subsidies.
- Leave: attachment versus long-run careers.
- Taxes: secondary-earner incentives and household allocation.
- Quotas: leadership nodes versus pipelines.
- Transparency and equal pay: firm pay-setting and regulatory incidence.
- Protection: formal rights, enforcement, reporting, and safety.

- Week 6 treats protection and reporting as policy-incidence problems.
- Week 7 studies safety, violence, harassment, and mobility as labor-market constraints directly.
- Safety changes feasible jobs, reservation wages, sorting, retention, authority, and welfare.

- Organize gender policy by margins and incidence, not by policy shopping.
- Firm response is part of the treatment.
- Average effects, incidence, equilibrium response, and welfare are different objects.
- Policy variation can identify mechanisms, but only if the design observes the margin that moves.